

Calendar Lines 1 and 2

Case Name: Elizabeth Gonzalez v. Piazza's Fine Foods, Inc. et al.

Case No.: 21CV391013

Motions by defendants Piazza's Fine Foods, Inc., and Rogelio Pena to seal documents and to enforce a settlement agreement. Notice is proper. Plaintiff Elizabeth Gonzalez does not oppose the motions to seal, but opposes defendants' motion to enforce the settlement agreement.

The parties settled this employment dispute in 2025. The parties signed a confidential settlement agreement. Plaintiff signed it in November 2025. Defendants signed it in January 2026. Under that agreement, plaintiff "agree[d] not to disclose any information regarding the financial terms of this Agreement." (Settlement agreement, section 6.1.) Plaintiff further agreed to a liquidated damages clause under which plaintiff would be required to pay the corporate defendant \$5,000 for any breach of the confidentiality clause. (Settlement agreement, section 6.3.) That clause further authorized the corporate defendant to recover attorney fees related to "any claim based upon a breach" of the confidentiality clause.

Plaintiff attached a copy of a partially executed settlement agreement to a declaration by counsel filed with the court in January 2026, related to a hearing on dismissal after settlement. The version of the settlement agreement filed by plaintiff included signatures by plaintiff and the corporate defendant.

Motions to Seal

Defendants move to seal both the partially executed settlement agreement and the fully executed settlement agreement they lodged with their motion to enforce the settlement agreement.

A court has the authority to order that a record be filed under seal if it expressly finds facts that establish: (1) there exists an overriding interest that overcomes the right of public access to the record; (2) the overriding interest supports sealing the record; (3) a substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; (4) the proposed sealing is narrowly tailored; and (5) no less-restrictive means exist to achieve the overriding interest. (Cal. Rules of Court, rule 2.550.) An agreement by parties that a document is confidential is inadequate to support sealing absent a "specific showing of serious injury." (*Universal City Studios, Inc. v. Superior Court* (2003) 110 Cal.App.4th 1273, 1282.)

Defendants do not make an adequate showing of prejudice to support sealing. They note that the parties agreed to keep the settlement agreement confidential and that making it public would "circumvent public policy." They also contend there is "no reason that these terms need to be made public." Those arguments do not demonstrate prejudice, though they are relevant to the motion to enforce the settlement agreement.

The motions to seal are denied.

Motion to Enforce Settlement Agreement

The motion to enforce the settlement agreement seeks liquidated damages and attorney fees for plaintiff's breach of the settlement agreement's confidentiality provision.

Plaintiff breached the settlement agreement's confidentiality provision by attaching the partially executed settlement agreement to the declaration filed in the case in January 2026. The court did not need the full settlement agreement for what was essentially a status conference regarding the case. Plaintiff contends there "was still no binding agreement" when counsel filed the document because not all parties had signed it. But plaintiff had already signed the agreement, indicating an intent to be bound by its terms. Plaintiff also argues the filing did not breach the settlement agreement because section 6.1 allows plaintiff to disclose information about the agreement to the court as a "federal, state or local government agency." (Settlement agreement, section 6.1.) The flaw in plaintiff's argument is that the disclosure was made in a public filing accessible by anyone, meaning it was not made solely to a government agency.

Under the settlement agreement, plaintiff and her counsel of record must pay the corporate defendant \$5,000 in liquidated damages. The corporate defendant is also entitled to reasonable attorney fees related to the breach. Section 6.3 does not authorize attorney fees for defendant Pena. The court finds the \$300 attorney hourly rate reasonable. The court finds the corporate defendants' request for 31.5 hours excessive. The attorney declaration asserts that amount of time was spent on legal research, drafting the motion and accompanying declarations, and communicating with opposing counsel. It provides no breakdown of time spent on each of those activities. The court finds 20 hours to be a reasonable amount of time to spend on enforcing the settlement agreement. Plaintiff and her counsel of record must therefore pay the corporate defendant \$6,000 in attorney fees (20 hours at \$300/hour).

Conclusion

The motions to seal are DENIED.

The motion to enforce the settlement agreement is GRANTED IN PART. Plaintiff and her counsel of record must pay defendant Piazza's Fine Foods, Inc.: (1) \$5,000 as liquidated damages; and (2) \$6,000 in attorney fees. Those payments are due no later than September 28, 2026.

The court will hold a further hearing on dismissal after settlement on November 5, 2026, at 11:00 a.m. in Department 10.

The court will prepare the order.

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Calendar Line 4

Case Name: Hong Wang v. Changzhuang Yu et al.

Case No.: 24CV441236

This is an action primarily for negligence and breach of contract brought by plaintiff Hong Wang (Wang) against defendants Changzhuang Yu, Yong Wang, Hui Jin, and Doe defendants.

The original and still operative complaint is a form complaint filed in June 2024. It alleges five causes of action: (1) premises liability; (2) general negligence; (3) breach of contract; (4) hiring unlicensed contractor; and (5) unfair business practices. There are no exhibits attached to the complaint. The narrative portion of the premises liability attachment alleges that “[o]n or about May 24, 2024 the defendants employed the plaintiff to demolish a structure at 162 Evergreen Way, Milpitas, CA 95035. During the demolition, a wooden beam struck the plaintiff’s right ankle, causing severe and permanent injury.” (Complaint, Prem.L-1.) Defendants Yong Wang and Hui Jin filed separate answers to the complaint in September 2024.

At issue is a motion for summary judgment jointly filed by defendants Yong Wang and Hui Jin (hereafter, Defendants) that Wang opposes.

GENERAL STANDARDS FOR SUMMARY JUDGMENT

The pleadings limit the issues presented for summary judgment or summary adjudication and such a motion may not be granted or denied based on issues not raised by the pleadings. (See *Laabs v. City of Victorville* (2008) 163 Cal.App.4th 1242, 1258 (*Laabs*); *Nieto v. Blue Shield of Calif. Life & Health Ins.* (2010) 181 Cal.App.4th 60, 73 (*Nieto*).) The moving party bears the initial burden of production to make a prima facie showing that there are no triable issues of material fact. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850 (*Aguilar*).) A motion for summary judgment or adjudication shall be granted only if it completely disposes of an entire cause of action, an affirmative defense, a claim for damages, or an “issue of duty.” (See Code Civ. Proc., § 437c, subd. (f)(1); *McCaskey v. California State Auto. Ass’n* (2010) 189 Cal.App.4th 947, 975 (*McCaskey*); *Palm Spring Villas II Homeowners Association, Inc. v. Parth* (2016) 248 Cal.App.4th 268, 288.)

“A defendant seeking summary judgment must show that at least one element of the plaintiff’s cause of action cannot be established, or that there is a complete defense to the cause of action. . . . The burden then shifts to the plaintiff to show there is a triable issue of material fact on that issue.” (*Alex R. Thomas & Co. v. Mutual Service Casualty Ins. Co.* (2002) 98 Cal.App.4th 66, 72; internal citations omitted.) “There is a triable issue of material fact if, and only if, the evidence would allow a reasonable finder of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof.” (*Aguilar, supra*, 25 Cal.4th at p. 850.) While the same standards of admissibility govern both sides’ supporting evidence, the opposition evidence is liberally construed while the moving party’s evidence is strictly construed. (*Saelzler v. Advanced Group 400* (2001) 25 Cal.4th 763, 768.) The evidence must be liberally construed in support of the opposing party, resolving any doubts in favor of that party. (*Yanowitz v. L’Oreal USA, Inc.* (2005) 36 Cal.4th 1028, 1037 (*Yanowitz*).)

A reply “shall not include any new evidentiary matter, additional material facts, or separate statement submitted with the reply and not presented in the moving papers or opposing papers.” (Code Civ. Proc., § 437c, subd. (b)(4); *Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537-38; *Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243, 252 (*Nazir*).)

DISCUSSION

Defendants move for summary judgment “on the ground that there are no triable issues of material fact,” and for summary adjudication of each cause of action in the alternative. (See notice of motion and motion at p. 2:2-3.)

California Rules of Court, rule 3.1350(b) states that: “If summary adjudication is sought, whether separately or as an alternative to the motion for summary judgment, the specific cause of action, affirmative defense, claims for damages, or issues of duty must be stated specifically in the notice of motion and be repeated, verbatim, in the separate statement of undisputed material facts.” California Rules of Court, rule 3.1350(d)(1)(A) further states that the statement in support of a motion “must separately identify: (A) Each cause of action, claim for damages, issue of duty, or affirmative defense that is the subject of the motion.” Defendants’ separate statement does not comply with these rules. It lists 16 undisputed material facts (UMFs) in support of summary judgment. The statement is also not in the two-column format required by the rules of court. The motion is therefore considered one for summary judgment only.

Attached directly to Defendants’ separate statement are three packets of documents labeled exhibits A-C, which are cited by the UMFs. Defendants’ motion is supported by a single declaration from Claudia Lozano, one of Defendants’ attorneys. This declaration makes a series of arguments as to what Lozano believes evidence in the case (unspecified deposition testimony and discovery responses) demonstrates. The declaration also states that “[t]rue and correct copies of relevant excerpts of the discovery responses and deposition testimony will be lodged as exhibits in support of this motion.” (Lozano Decl., ¶ 9.) However, no separate packet of supporting evidence was filed in support of the motion, and the Lozano declaration does not specifically refer to or authenticate any of the three exhibits attached directly to the separate statement.

“Authentication of a writing is required before it may be received into evidence.” (Evid. Code, § 1401(a).) “Authentication means either the introduction of evidence sufficient to sustain a finding that the writing is what the proponent claims it is, or ‘the establishment of such facts by any other means provided by law’ (e.g., by stipulation or admissions).” (*Midland Funding LLC v. Romero* (2016) 5 Cal.App.5th Supp. 1, 8, citing Evid. Code, § 1400.) “The party offering the writing has the burden of presenting sufficient evidence of its authenticity to sustain a finding of fact to that effect.” (*Ibid.*, citing Evid. Code § 403, subd. (a)(3); see also *Greenspan v. LADT, LLC* (2010) 191 Cal.App.4th 486, 523 [explaining that ordinarily in law and motion matters, a writing is authenticated by declarations establishing how the documents were obtained, who identified them, and their status as “true and correct” copies of the original].) Because the exhibits attached to the separate statement are not authenticated, they do not provide support for the UMFs listed in the statement. The statement also contains a single citation to a “Wang Decl.” (see UMF 13), but no such declaration was filed in support of the motion.

The only admissible evidence filed in support of the motion is the declaration from attorney Lozano. The Lozano declaration is insufficient to meet Defendants' initial burden for summary judgment. The Lozano declaration is not cited in Defendants' statement as support for any UMF. It does not authenticate any of the documents attached directly to the statement. And Lozano's declaration statements purporting to summarize what unspecified discovery responses and testimony establishes are not themselves evidence. (See opposition at p. 11:24-28.)

Defendants' motion for summary judgment is denied for failure to meet the initial burden.

CONCLUSION

Defendants' motion for summary judgment is denied for failure to meet the initial burden.

The court will prepare the order.

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Calendar Line 6

Case Name: Ilya Rosenberg v. Sensel, Inc. et al.

Case No.: 25CV457782

This is an action for discrimination and wrongful termination brought by plaintiff Ilya Rosenberg (Plaintiff) against several defendants including Sensel, Inc., his former employer. The original complaint was filed in January 2025. The operative first amended complaint (FAC) was filed in August 2025 and states eleven causes of action: (1) failure to engage in interactive process; (2) medical condition discrimination; (3) failure to accommodate; (4) wrongful termination; (5) retaliation (Lab. Code, § 1102.5); (6) defamation; (7) inspection of corporate records; (8) fraudulent concealment; (9) aiding and abetting fraud; (10) intentional interference with prospective economic advantage; and (11) violation of the Uniform Voidable Transactions Act (UVTA). There are no exhibits attached to the FAC.

Now before the court is a demurrer to the FAC by defendant Cirque Corporation (Cirque), opposed by Plaintiff.

LEGAL STANDARDS FOR DEMURRER

In ruling on a demurrer, the court accepts as true all properly pleaded material factual allegations but does not accept as true contentions, deductions or conclusions of fact or law. (*Valero v. Spread Your Wings, LLC* (2023) 88 Cal.App.5th 243, 253.) Code of Civil Procedure section 430.60 states that “[a] demurrer shall distinctly specify the grounds upon which any of the objections to the complaint, cross-complaint, or answer are taken. Unless it does so, it may be disregarded.” The California Rules of Court also require that the demurrer itself (distinct from a supporting memorandum) specify the target of any objection and the grounds. (See Cal. Rules of Court, rules 3.1103(c), 3.1112(a), 3.1320(a) [“Each ground of demurrer must be in a separate paragraph and must state whether it applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses.”].)

The court cannot consider extrinsic evidence when ruling on a demurrer. That includes declarations. The court has considered the declaration from Cirque’s counsel only to the extent it describes the meet and confer efforts required by statute. The court has not considered the declaration filed by Plaintiff’s counsel Cindy Lee with the opposition. While a demurring party is required to submit a declaration discussing meet and confer efforts, there is no authority permitting an opposing party to submit declarations. Finally, “points raised in the reply brief for the first time will not be considered, unless good reason is shown for failure to present them before.” (*Proctor v. Vishay Intertechnology, Inc.* (2013) 213 Cal.App.4th 1258, 1273.)

DISCUSSION

Cirque demurs to the FAC’s ninth, tenth, and eleventh causes of action, the only causes of action alleged against it, on the ground that they each fail to state sufficient facts.

Ninth Cause of Action

“California courts have long held that liability for aiding and abetting depends on proof the defendant had actual knowledge of the specific primary wrong the defendant substantially

assisted ‘The words ‘aid and abet’ as thus used have a well understood meaning, and may fairly be construed to imply an intentional participation *with knowledge of the object to be attained.*’” (*Casey v. U.S. Bank Nat. Assn.* (2005) 127 Cal.App.4th 1138, 1145-1146 (*Casey*), internal citations omitted.) Liability for aiding and abetting also depends upon the underlying tort being adequately pleaded. (*Id.* at p. 1144 [explaining that “[l]iability may . . . be imposed on one who aids and abets the commission of an intentional tort if the person . . . gives substantial assistance or encouragement to the other to so act”].)

Critically, “[t]he defendant must have ‘actual knowledge of the specific primary wrong the defendant substantially assisted.’” (*Hooked Media Group, Inc. v. Apple Inc.* (2020) 55 Cal.App.5th 323, 351, quoting *Casey, supra*, 127 Cal.App.4th at p. 1145.) A “conclusory allegation that [the defendant] was ‘aware’ of [general wrongdoing] is manifestly insufficient.” (*George v. eBay, Inc.* (2021) 71 Cal.App.5th 620, 641 (*George*).) “Moreover, knowledge alone, even specific knowledge, is not enough to state a claim for aiding and abetting. California law ‘necessarily’ requires that for aiding and abetting liability to attach, a defendant have made a conscious decision to participate in tortious activity for the purpose of assisting another in performing a wrongful act.” (*George, supra*, 71 Cal.App.5th at p. 641, quoting *American Master Lease LLC v. Idanta Partners, Ltd.* (2014) 225 Cal.App.4th 1451, 1476.) This is because “[m]ere knowledge that a tort is being committed and the failure to prevent it does not constitute aiding and abetting. ‘As a general rule, one owes no duty to control the conduct of another.’” (*Austin B. v. Escondido Union School District* (2007) 149 Cal.App.4th 860, 879, internal citations omitted.)

The underlying eighth cause of action for fraudulent concealment is not alleged against Cirque and is alleged in a conclusory fashion. The ninth cause of action (FAC at ¶¶ 133-139) is also alleged in conclusory fashion and so currently fails to state sufficient facts. Incorporating all prior allegations by reference does not cure this defect. In particular, the ninth cause of action fails to adequately allege how Cirque made a conscious decision to participate in the other defendants’ fraudulent concealment of facts from Plaintiff (the only tort it allegedly aided and abetted). Nor does it allege how Cirque gave substantial assistance or encouragement to the fraudulent concealment. Simply entering into an agreement with Sensel, Inc., years after the concealment allegedly began, cannot itself constitute either a conscious decision to participate in tortious activity for the purpose of aiding fraudulent concealment or the providing of substantial assistance or encouragement.

Cirque’s demurrer to the ninth cause of action on the ground that it fails to state sufficient facts is sustained.

A plaintiff bears the burden of demonstrating that a defect identified on demurrer could be cured through amendment. (*Schifando v. City of Los Angeles* (2003) 31 Cal.4th 1074, 1081.) Plaintiff’s opposition does not meet that burden. It claims that additional facts could be alleged, but does not explain how those facts would cure the defect. Because this is the first pleading challenge in this case to be heard by the court, the court will grant leave to amend. The court does not grant leave to add new claims or parties.

Tenth Cause of Action

To state a cause of action for intentional interference with prospective economic relations, a plaintiff must show “(1) the existence, between the plaintiff and some third party,

of an economic relationship that contains the probability of future economic benefit to the plaintiff, (2) the defendant's knowledge of the relationship, (3) intentionally wrongful acts designed to disrupt the relationship, (4) actual disruption of the relationship, and (5) economic harm proximately caused by the defendant's action." (*Roy Allan Slurry Seal, Inc. v. American Asphalt South, Inc.* (2017) 2 Cal.5th 505, 512.) "Intentionally interfering with prospective economic advantage requires pleading that the defendant committed an independently wrongful act... [a]n act is independently wrongful if it is unlawful, that is, if it is proscribed by some constitutional, statutory, regulatory, common law, or other determinable legal standard." (*Ixchel Pharma, LLC v. Biogen, Inc.* (2020) 9 Cal.5th 1130, 1142; see also *Della Penna v. Toyota Motor Sales, U.S.A., Inc.* (1995) 11 Cal.4th 376, 392-393 [stating that "a plaintiff seeking to recover for alleged interference with prospective economic relations has the burden of pleading and proving that the defendant's interference was wrongful 'by some measure beyond the fact of the interference itself'"].)

The tenth cause of action (FAC at ¶¶ 140-148) is also alleged in conclusory fashion. The only independently wrongful act alleged is Cirque's purported aiding and abetting of other defendants' alleged fraudulent concealment. (See FAC at ¶ 143.) Because the ninth cause of action currently fails to state sufficient facts, the tenth cause of action lacks an independently wrongful act by Cirque and also fails to state sufficient facts.

Cirque's demurrer to the tenth cause of action on the ground that it fails to state sufficient facts is sustained. Because this is the first pleading challenge to be heard by the court in this case, Plaintiff is granted leave to amend.

Eleventh Cause of Action

As a statutory cause of action, Plaintiff's UVTA claim must be pleaded with particularity. (*Lopez v. Southern California Rapid Transit District* (1985) 40 Cal.3d 780, 795; *Covenant Care, Inc. v. Superior Court* (2004) 32 Cal.4th 771, 790.) When a statutory cause of action is alleged, "the plaintiff must set forth facts in his complaint sufficiently detailed and specific to support an inference that each of the statutory elements of liability is satisfied. General allegations are regarded as inadequate." (*Mittenhuber v. City of Redondo Beach* (1983) 142 Cal.App.3d. 1, 5.)

The UVTA is codified at Civil Code section 3439 et seq. "A transfer made ... by a debtor is fraudulent as to a creditor, whether the creditor's claim arose before or after the transfer was made ..., if the debtor made the transfer ... as follows: [¶] (1) With actual intent to hinder, delay, or defraud any creditor of the debtor." (Civ. Code, § 3439.04, subd. (a); unspecified statutory references are to the Civil Code.) Transfer of a property by a debtor is thus a necessary element of a fraudulent conveyance claim. (§ 3439.04, subd. (a)(1).) A creditor is defined in the UVTA as "a person that has a claim." (§ 3439.01, subd. (c).) A claim is "a right to payment, whether or not the right is reduced to judgment, liquidated, unliquidated, fixed, contingent, matured, unmatured, disputed, undisputed, legal, equitable, secured, or unsecured." (§ 3439.01, subd. (b).) A "debt" is "liability on a claim"; and a "debtor" is "a person that is liable on a claim." (§ 3439.01, subds. (d) & (e).) The person or entity to whom the assets are transferred (usually but not always a defendant) may be referred to as the "third party" or "transferee." The goal of such a cause of action is not to obtain judgment, but rather to collect on the claim. If the transfer satisfies the provisions of section 3439.04, subdivision (a)(1) or (2), it is voidable.

The UVTA provides two methods of establishing a fraudulent transfer. First, actual fraud is a transfer made with “actual intent to hinder, delay or defraud any creditor.” (§ 3429, subd. (a)(1).) Second, constructive fraud requires a showing that the debtor did not receive “reasonably equivalent” value for the transfer, and that the transfer was made when the debtor was engaged in a transaction for which his or her remaining assets were unreasonably small relative to the size of the transaction or he or she intended to incur debts beyond his or her ability to pay them. (§ 3439.04, subd. (a)(2)(A), (B).) The eleventh cause of action (FAC at ¶¶ 149-155) does not allege constructive fraud.

Actual fraud may be inferred from certain types of conduct, i.e., “badges of fraud.” There are 11 such badges of fraud: Whether the transfer or obligation was to an insider; Whether the debtor had retained possession or control of the property transferred after the transfer; Whether the transfer or obligation was disclosed or concealed; Whether the debtor was sued or threatened with suit before the transfer was made or obligation was incurred; Whether the transfer was of substantially all of the debtor’s assets; Whether the debtor has absconded; Whether the debtor had removed or concealed assets; Whether the value of the consideration received by the debtor was reasonably equivalent to the value of the asset transferred or the amount of the obligation incurred; Whether the debtor was insolvent or became insolvent shortly after the transfer was made or the obligation was incurred; Whether the transfer had occurred shortly before or shortly after a substantial debt was incurred; and Whether the debtor had transferred the essential assets of the business to a lienor who had transferred the assets to an insider of the debtor. (§ 3439.04, subdivision (b)(1)-(11).)

A creditor bringing a claim under section 3439.04, subdivision (a) must prove the elements of the claim by a preponderance of the evidence. (Civ. Code § 3439.04(c).) At the same time, “whether a conveyance is made with fraudulent intent is a question of fact.” (*Annod Corp. v. Hamilton & Samuels* (2002) 100 Cal.App.4th 1286, 1294; see also *Filip v. Bucurenciu* (2005) 129 Cal.App.4th 825, 834 (*Filip*).) “There is no minimum number of factors that must be present before the scales tip in favor of finding of actual intent to defraud. This list of factors is meant to provide guidance to the trial court, not compel a finding one way or the other.” (*Filip*, at p. 834.)

The eleventh cause of action is not alleged with the particularity required for a statutory cause of action. Incorporating prior allegations by reference does not cure this defect. The FAC fails to allege any violation of the UVTA by Cirque. The cause of action focuses primarily on conduct by the “Sensel Defendants,” defined as defendants Sensel, John Todd, and Aaron Zarraga. (FAC at ¶ 4.) It alleges plaintiff suffered emotional distress “from Cirque’s actions,” but does not describe those actions. (FAC, ¶ 154.) The ninth and tenth causes of action do not provide any support for the eleventh causes of action as alleged against Cirque because they both currently fail to state sufficient facts.

The allegation that the “Cirque-Sensel Agreement” was actual fraud for purposes of the UVTA (FAC at ¶ 151) is made on information and belief only. A party cannot include the phrase “information and belief,” without more. (*Gomes v. Countrywide Home Loans, Inc.* (2011) 192 Cal.App.4th 1149, 1158-59.) To plead an allegation on the basis of information and belief, a plaintiff must allege the facts or information that led it to infer or believe the truth of the ultimate factual allegation. (*Ibid.*; see also *Brown v. USA Taekwondo* (2019) 40 Cal.App.5th 100, 1106 [“where factual allegations are based on information and belief, the

plaintiff must allege ‘information that “lead[s] [the plaintiff] to believe that the allegations are true”’].) Allegations made on “information and belief” that lack supporting information are not accepted as true on demurrer.

Cirque’s demurrer to the eleventh cause of action on the ground that it fails to state sufficient facts as alleged against it is sustained. While the opposition fails to meet Plaintiff’s burden to show how the defect could be cured by amendment, the court will grant leave to amend because this is the first pleading challenge in the case to be heard by the court.

CONCLUSION

Defendant Cirque’s demurrer to the FAC’s ninth, tenth and eleventh causes of action is sustained with leave to amend.

Any amended pleading must be filed and served no later than September 25, 2026.

The court will prepare the order.

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Calendar Line 10

Case Name: Thomas Huang et al. v. Fidelity National Title Company et al.

Case No.: 26CV488025

This is an action for fraud and conspiracy to steal title to residential property. Self-represented plaintiffs Thomas Huang and Xin Huang (Plaintiffs) sued several defendants, including Fidelity National Title Company (Fidelity) and Natasha Warner (Warner), a Fidelity employee.

The original and still operative complaint, filed in March 2026, alleges six causes of action: (1) fraudulent misrepresentation; (2) conspiracy to commit fraud; (3) gross negligence; (4) professional negligence; (5) quiet title/cancellation of instruments; and (6) declaratory and injunctive relief. The complaint is not verified and there are no exhibits attached.

At issue is a demurrer to the complaint by Fidelity and Natasha Warner (hereafter, Defendants). Plaintiffs oppose.

LEGAL STANDARDS FOR DEMURRER

In ruling on a demurrer, the court accepts as true all properly pleaded material factual allegations but does not accept as true contentions, deductions or conclusions of fact or law. (*Valero v. Spread Your Wings, LLC* (2023) 88 Cal.App.5th 243, 253.) Code of Civil Procedure section 430.60 states that “[a] demurrer shall distinctly specify the grounds upon which any of the objections to the complaint, cross-complaint, or answer are taken. Unless it does so, it may be disregarded.” The California Rules of Court also require that the demurrer itself (distinct from a supporting memorandum) specify the target of any objection and the grounds. (See Cal. Rules of Court, rules 3.1103(c), 3.1112(a), 3.1320(a) [“Each ground of demurrer must be in a separate paragraph and must state whether it applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses.”].)

The court cannot consider extrinsic evidence when ruling on a demurrer. That includes declarations. The court has considered the declaration from defense counsel only to the extent it describes the require meet and confer efforts. The court has not considered any portion of the “Index of Exhibits” filed by Plaintiffs with the opposition, or any arguments based on that extrinsic evidence. Self-represented litigants are entitled to the same, but no greater, consideration than other litigants and attorneys. (*County of Orange v. Smith* (2005) 132 Cal.App.4th 1434, 1444.) Finally, “points raised in the reply brief for the first time will not be considered, unless good reason is shown for failure to present them before.” (*Proctor v. Vishay Intertechnology, Inc.* (2013) 213 Cal.App.4th 1258, 1273.)

DISCUSSION

Defendants demur to the complaint’s second, third, fifth and sixth causes of action, the only ones alleged against them, on the ground that they fail to state sufficient facts and also on the ground that plaintiff Thomas Huang lacks standing. (See Notice of Demurrer and Demurrer at pp. 1:25-2:20.)

Plaintiffs’ opposition exceeded the page limit for an opposition. (Cal. Rules of Court, rule 3.1113.) Plaintiffs are admonished to comply with page limits in all future filings.

Plaintiffs also acknowledge that because of developments in a related criminal case, they “have no need” to pursue the fifth and sixth causes of action against Defendants. (See opposition at p. 2 (“ii”), lines 7-18.) And because the complaint is not verified, the fifth cause of action for quiet title currently fails as a matter of law. (Code Civ. Proc., § 761.020.) Accordingly, the demurrer to the fifth and sixth cause of action on the ground that they both fail to state sufficient facts as alleged against the demurring Defendants is sustained without leave to amend.

Plaintiff Thomas Huang’s Lack of Standing

In California courts, the term standing is broadly defined as the right to relief in court. (*The Rossdale Group, LLC v. Walton* (2017) 12 Cal.App.5th 936, 944-945.) “In general terms, in order to have standing, the plaintiff must be able to allege injury — that is, some ‘invasion of the plaintiff’s legally protected interests.’ ” (*Angelucci v. Century Supper Club* (2007) 41 Cal.4th 160, 175.)

The complaint alleges that plaintiff Xin Huang “is and at all relevant times was the sole and lawful owner of the residential real property located at 991 Wainwright Drive, San Jose, California 95128 (the ‘Property’). Plaintiff Thomas Huang is Plaintiff Xin Huang’s brother and acted to protect the Property and investigate the fraudulent transfer once it was discovered.” (Complaint at ¶¶ 25-26, emphasis added.) Because every cause of action in the complaint depends on ownership interest in the subject property, these allegations admit that Thomas Huang has no standing to bring the second or third causes of action against Defendants. “It is well established that in the context of a demurrer, specific allegations control over more general ones.” (*Chen v. PayPal, Inc.* (2021) 61 Cal.App.5th 559, 571-572 (*Chen*).)

Plaintiffs argue that the admission that only Xin Huang owns the subject property is inaccurate. But Plaintiffs are bound by the allegations in the complaint. And Plaintiffs’ argument depends upon extrinsic evidence, which the court cannot consider on demurrer

A plaintiff bears the burden of demonstrating that an amendment would cure the defect identified on demurrer. (*Schifando v. City of Los Angeles* (2003) 31 Cal.4th 1074, 1081.) The opposition does not meet that burden. Though the court has some concern that any attempt to amend the complaint will contradict the initial complaint’s factual allegations, the court will grant leave to amend because this is the first pleading challenge in the case. (See *Berg & Berg Enterprises, LLC v. Boyle* (2009) 178 Cal.App.4th 1020, 1034 [when considering a demurrer to an amended complaint, “we may consider the factual allegations of prior complaints, which a plaintiff may not discard or avoid by making ‘ ‘ ‘contradictory averments, in a superseding, amended pleading.’ ” ’ ’ ’].) Plaintiffs are admonished that, “[f]ollowing an order sustaining a demurrer or a motion for judgment on the pleadings with leave to amend, the plaintiff may amend his or her complaint only as authorized by the court’s order. The plaintiff may not amend the complaint to add a new cause of action without having obtained permission to do so, unless the new cause of action is within the scope of the order granting leave to amend.” (*Zakk v. Diesel* (2019) 33 Cal.App.5th 431, 456.) The court does not grant leave to add any new causes of action or parties. Plaintiffs are cautioned that if new causes of action or parties are added without prior leave of court, as the opposition suggests, they may be struck by the court on its own motion. Adding new causes of action will require a noticed motion for leave to amend.

Second Cause of Action

“Conspiracy is not an independent tort; it cannot create a duty or abrogate an immunity. It allows tort recovery only against a party *who already owes the duty* and is not immune from liability based on applicable substantive tort law principles.” (*Applied Equipment Corp. v. Litton Saudi Arabia, Ltd.* (1994) 7 Cal.4th 503, 514 (*Applied Equipment*).) A “civil conspiracy to commit tortious acts can, as a matter of law, *only* be formed by parties who are already under a duty to the plaintiff, the breach of which will support a cause of action against them—individually and not as conspirators—in tort. Restated, in cases where the plaintiff alleges the existence of a civil conspiracy among the defendants to commit tortious acts, the source of substantive liability *cannot* arise out of participation in the conspiracy alone.” (*Chavers v. Gatke Corp.* (2003) 107 Cal.App.4th 606, 614 (*Chavers*), internal citations omitted.)

Liability for civil conspiracy requires three elements: (1) formation of the conspiracy (an agreement to commit wrongful acts); (2) operation of the conspiracy (commission of the wrongful acts); and (3) damage resulting from operation of the conspiracy. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 47.) In addition, “[Plaintiffs] must show that each member of the conspiracy acted in concert and came to a mutual understanding to accomplish a common and unlawful plan, and that one or more of them committed an overt act to further it. It is not enough that the conspiring officers knew of an intended wrongful act, they had to agree—expressly or tacitly—to achieve it. Unless there is such a meeting of the minds, ‘the independent acts of two or more wrongdoers do not amount to a conspiracy.’” (*Choate v. County of Orange* (2000) 86 Cal.App.4th 312, 333, citation omitted.) “Where fraud is alleged to be the object of the conspiracy, the claim must be pleaded with particularity.” (*Prakashpalan v. Engstrom, Lipscomb & Lack* (2014) 223 Cal.App.4th 1105, 1136.)

The complaint alleges that various individual defendants (not including Warner) carried out a scheme to impersonate “the true homeowner, Plaintiff Xin Huang, using a fraudulent California ID bearing [defendant Tuan] Luong’s facial photograph but Plaintiff’s name and identifying information, in order to falsely convey title to Defendant [Kim Thuy] Ho.” Fidelity, through Warner, acted as the escrow holder for the transaction and allegedly failed to detect various red flags. (See complaint at ¶¶ 3-5.)

The first cause of action for fraud is not alleged against Warner or Fidelity. The second cause of action for conspiracy to commit fraud is alleged in a conclusory fashion. (See complaint at ¶¶ 62-73.) The only alleged overt acts by Warner are “processing and closing the fraudulent escrow despite obvious red flags.” The only alleged overt acts by Fidelity are “ratifying and recording the transaction and issuing a false closing statement.” (*Id.*, ¶ 67d and e.)

The source of liability cannot arise out of participation in the conspiracy alone. (*Chavers, supra*, 107 Cal.App.4th at 614.) The first cause of action does not provide any support for the second because it is not alleged against Warner and Fidelity. The conspiracy claim is not alleged with the specificity of a fraud claim. It also does not sufficiently allege that Warner or Fidelity acted in concert with the other individual defendants or had a mutual understanding to accomplish an unlawful plan.

The second cause of action also fails to state sufficient facts because of the lack of any preexisting duty of care owed by Warner or Fidelity to Plaintiffs. The existence and scope of a duty of care are questions of law for the court, even at the pleading stage. (*Melton v. Boustred* (2010) 183 Cal.App.4th 521, 531 (*Melton*)). Warner and Fidelity's only alleged role in the scheme to change title to the Property was to act as the escrow holder. In that role, their only preexisting duty of care was to carry out the instructions of the parties to the escrow. They owed no duty to police the affairs of depositors. (*Summit Financial Holdings, Ltd. v. Continental Lawyers Title Co.* (2002) 27 Cal.4th 705, 711-714 (*Summit*); *Branscomb v. JPMorgan Chase Bank, N.A.* (2014) 223 Cal.App.4th 801, 809-810 (*Branscomb*)). Plaintiffs were not parties to the escrow, meaning Defendants did not owe them any duty of care.

Defendants' demurrer to the second cause of action on the ground that it fails to state sufficient facts as alleged against them is sustained. Plaintiffs' opposition fails to meet their burden to show how the defects in the second cause of action could be cured through amendment. The court has some concern that this cause of action cannot be amended to allege a duty of care owed to defendants without contradicting existing factual allegations. But because this is the first pleading challenge, the court will grant Plaintiffs leave to amend. The court does not grant leave to add new causes of action or parties.

Third Cause of Action

"California does not recognize a distinct common law cause of action for gross negligence apart from negligence." (*Jimenez v. 24 Hour Fitness USA, Inc.* (2015) 237 Cal.App.4th 546, 552, fn.3.) Gross negligence is different from ordinary negligence in degree, not in kind. (*Anderson v. Fitness Internat., LLC* (2016) 4 Cal.App.5th 867, 881.) Because gross negligence is simply a degree of negligence, the elements of a claim for gross negligence are the same as one for ordinary negligence. (*Rosencrans v. Dover Images, Ltd.* (2011) 192 Cal.App.4th 1072, 1082.)

The elements of a negligence cause of action are: "(a) a legal duty to use due care; (b) a breach of such legal duty; [and] (c) the breach as the proximate or legal cause of the resulting injury." (*Ladd v. County of San Mateo* (1996) 12 Cal.4th 913, 917-918, quoting *Evan F. v. Hughson United Methodist Church* (1992) 8 Cal.App.4th 828, 834.) The existence and scope of a duty of care are questions of law for the court even on demurrer. (See *Melton, supra*, 183 Cal.App.4th at 531.)

Because the complaint admits that Defendants' only role in the alleged scheme was to act as the escrow holder (see complaint at ¶¶ 75-76), they did not owe Plaintiffs a duty of care. Defendants' only preexisting duty of care was to carry out the instructions of the parties to the escrow. They owed no duty to police the affairs of depositors. (*Summit, supra*, 27 Cal.4th at 711-714; *Branscomb, supra*, 223 Cal.App.4th at 809-810.) Plaintiffs were not parties to the escrow, meaning Defendants did not owe them any duty of care. The opposition's argument that a duty of care owed to Plaintiffs should be found to exist by applying the *Biakanja* test is unpersuasive. (Citing *Biakanja v. Irving* (1958) 49 Cal. 2d 647.) As the reply points out, the Supreme Court has already concluded that even if that test is applied, there is "no reason to depart from 'the general rule that an escrow holder incurs no liability for failing to do something not required by the terms of the escrow or for a loss caused by following the escrow instructions.'" (*Summit, supra*, 27 Cal.4th at p. 715.)

Because Defendants did not owe Plaintiffs a duty of care, the demurrer to the third cause of action on the ground that it fails to state facts is sustained. The court does not reach Defendants' argument that the third cause of action is also time-barred.

The opposition does not meet Plaintiffs' burden to show how the third cause of action could be cured by amendment. Because this is the first pleading challenge, the court will grant Plaintiffs leave to amend. The court does not grant leave to add new causes of action or parties.

CONCLUSION

Defendants' demurrer to the complaint's fifth and sixth causes of action on the ground that they fail to state sufficient facts is sustained without leave to amend.

Defendants' demurrer to the second and third causes of action as brought by plaintiff Thomas Huang on the ground that he lacks standing is sustained with leave to amend.

Defendants' demurrer to the second and third causes of action on the ground that they fail to state sufficient facts is sustained with leave to amend.

Any amended pleading must be filed and served no later than September 25, 2026.

The court will prepare the order.

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